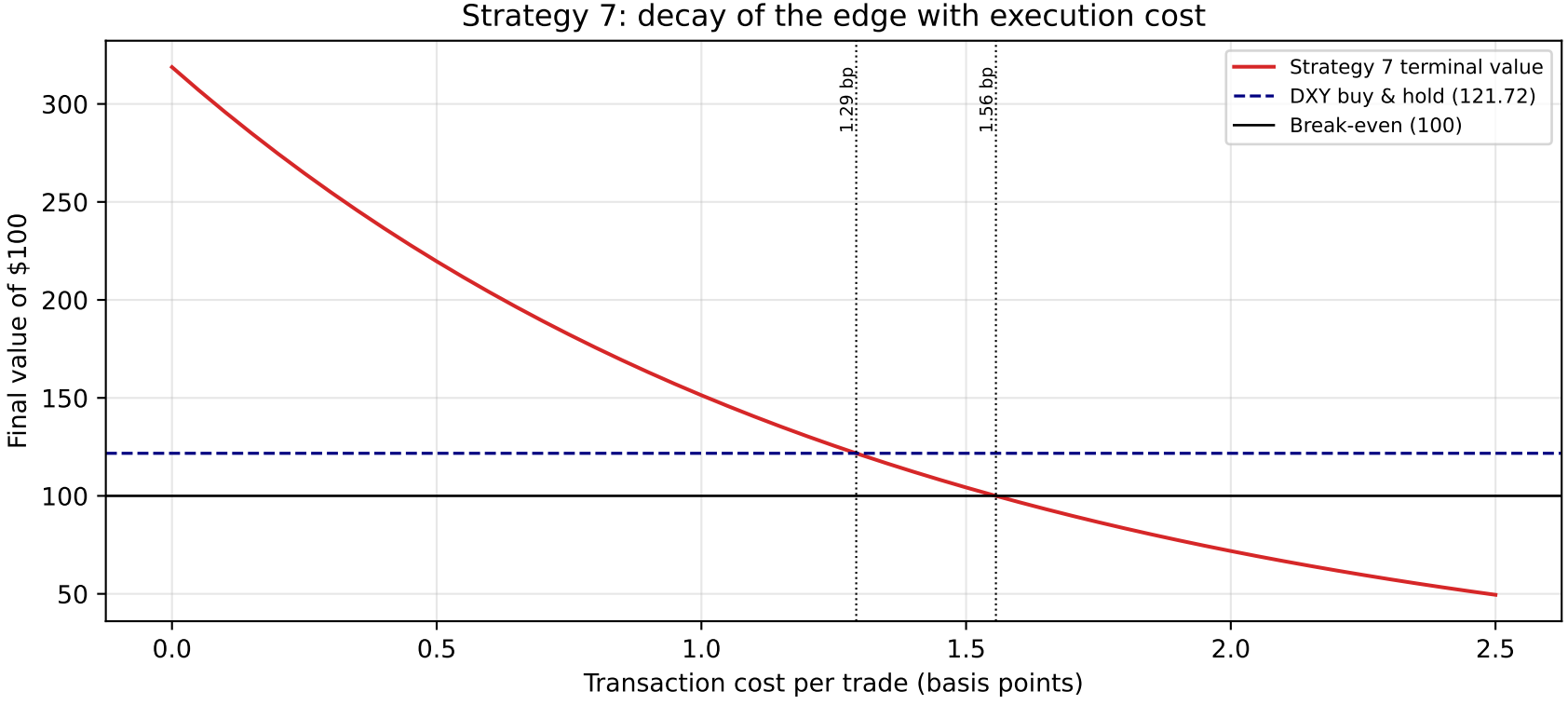
Strategy 7: decay of the edge with execution cost
Strategy 7 terminal value
DXY buy & hold (121.72)
Break-even (100)
1.29 bp
1.56 bp
Final value of $100
300
250
200
150
100
50
0.0
0.5
1.0
1.5
2.0
2.5
Transaction cost per trade (basis points)